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CABINET

FORMOSA

NOTE BY THE SECRETARY OF STATE FOR FOREIGN AFFAIRS

I circulate for the information of my colleagues a note on the juridical aspects of the Formosa situation in accordance with a suggestion made at the meeting of the Cabinet on 31st January (C.C. (55) 8th Conclusion, Minute 2).

A. E.

Foreign Office, S.W. 1.,
10th February, 1955.

JURIDICAL ASPECTS OF THE FORMOSA SITUATION

Formosa and the Pescadores

1. Formosa and the Pescadores were ceded to Japan by China in the Peace Treaty of Shimonoseki of 1895. The validity of this cession can hardly be contested. The Cairo Declaration of December, 1943, with its reference to Formosa as one of the territories which Japan had "stolen from the Chinese" was a retrospective moral condemnation of an international transaction which, at the time and long afterwards, was never questioned as being in any way contrary to international law.

2. In the Cairo Declaration, the Allies stated that it was their purpose "that all the territories which Japan has stolen from China, such as . . . . Formosa and the Pescadores shall be restored to the Republic of China. . . . ." This declaration was simply a statement of intention that Formosa should be retroceded to China after the war. This retrocession has in fact never taken place because of the difficulties arising from the existence of two entities claiming to represent China and the differences among the Powers as to the status of these two entities. The Potsdam Declaration of July, 1945, laid down as one of the conditions for the Japanese Peace Treaty that the terms of the Cairo Declaration should be carried out. In September, 1945, the administration of Formosa was taken over from the Japanese by Chinese forces pursuant to the Japanese Instrument of Surrender and General Order No. 1 issued by the Japanese Government at the direction of the Supreme Commander for the Allied Powers, dated September 2, 1945. But this was not a cession nor did it in itself involve any change of sovereignty. The arrangements made with Chiang Kai-shek put him there on a basis of military occupancy, responsible to the whole body of the Allies, pending a peace treaty with Japan or, if the status of Formosa was not finally settled by that treaty (which it was not), then pending an eventual settlement about Formosa—which has not yet taken place. The arrangements did not of themselves constitute the territory Chinese. In the Japanese Peace Treaty of April, 1952, Japan formally renounced all right, title and claim to Formosa and the Pescadores, but again this did not operate as a transfer to Chinese sovereignty, whether to the Chinese People's

Republic or to the Chinese Nationalist authorities. It has been suggested that the Japanese Peace Treaty meant that the parties to the Peace Treaty, other than Japan, had become co-sovereigns of Formosa. This seems doubtful. The Peace Treaty merely removed Japan's title without making any alterations in the existing arrangements for its administration.

3. Formosa and the Pescadores are, therefore, in the view of Her Majesty's Government, territory the *de jure* sovereignty over which is uncertain or undetermined. In the meantime, Her Majesty's Government do in practice recognise the Chinese Nationalists as the authority administering Formosa; but they do not recognise them as the *de facto* government of Formosa, whether as part of China or on any other basis, since they do not regard Formosa, as such, as constituting a separate State.

4. The logical corollary of our view as to the basis on which the Chinese Nationalists occupy Formosa is that although they are entitled to be in Formosa, they exercise a limited authority there. As we do not recognise the Nationalists as the Government of China, they are not, in our view, entitled to use Formosa for trying to get back into the mainland of China. Their powers in respect of Formosa are, or should be, strictly confined to administering Formosa itself and not using it as a base for outside activities.

5. On the future of Formosa, Mr. Morrison when Foreign Secretary in the late Labour Government, took the line in the House of Commons on May 11, 1951, that it had now become " an international problem in which a number of nations apart from those signatory to the Cairo and Potsdam Declarations are closely concerned " and which could usefully be considered by the United Nations at the appropriate time. The Prime Minister said in the House of Commons on February 1 of this year that " the problem of Formosa [had] become an international problem in which a number of other nations are closely concerned."

The Coastal Islands

6. The Nationalist-held islands in close proximity to the China coast are in a different category from Formosa and the Pescadores, since they are undoubtedly Chinese territory and therefore, in our view, part of the territory over which the People's Republic of China is entitled to exercise authority. Any attempt by the Government of the People's Republic of China, however, actually to assert its authority over these islands by force would, in the circumstances peculiar to the case, give rise to a situation endangering peace and security, which is properly a matter of international concern.

7th February, 1955.